May - 2026

CASE STUDY

Total marks: 100 **Time allowed:** 4:30 hours.

Instructions:

1. Check that your question paper contains all the exhibits as mentioned in page 3. The consecutive page numbering may be found under the base line at the foot of each page.

2. Use the answer script provided by the Institute. Write your name, roll no., registration no. and name of the subject on the upper portion of the cover page of the answer script.

3. Candidates are asked not to write any particulars of identification in any other place of the answer script and additional pages if taken.

4. Questions must be answered in English.

5. The answer should be referenced to the relevant workings.

6. Answer script and additional page(s) taken to write answer, used or unused, must not be removed or taken away from the Examination Hall.

Requirements & Marks Allocation:

You are Jakia Sultana, Senior Manager at MR Khan & Co., Chartered Accountants (MRKC). You report to Mr. Muhammed Reza Khan FCA, Managing Partner at MRKC who have forwarded you an email (**Exhibit-1**) sent by Mr. Foyzul Islam, Managing Director of Luna HomeTech Limited (Luna). Mr. Islam on his email requested advice on several matters and shared relevant information for consideration. Mr. Reza Khan assigned you for this assignment and asked you to prepare a draft report for the board of Luna HomeTech Limited covering all the requirements stated in Mr. Islam's email. In addition, he also shared a business article and few news clips (**Exhibit-7** and **Exhibit-8**) which he considers relevant and wants you to consider in preparation of the report.

Requirements:

You are required to prepare a draft report for the board of Luna which should comprise the following elements:

- An executive summary
- Your responses to the detailed requirements (a), (b) and (c) set out in Exhibit-1**.**
- State clearly of any assumptions used in preparing the report.

Marks Allocation:

All of allocated marks in the Case Study are awarded for the demonstration of professional skills, allocated broadly as follows:

Requirements	Professional Skills					Total
	Assimilating and using information	Structuring problems and solutions	Applying judgment	Conclusions and making recommendations	Integrative & multidisciplinary skills	
Executive Summary	4	4	2	3	2	**15**
Requirement (a) (i)	3	4	3	3	2	**15**
(ii)	3	3	2	2	0	**10**
Requirement (b) (i)	4	4	2	2	2	**14**
(ii)	3	3	3	3	2	**14**
(iii)	3	3	2	2	2	**12**
Requirement (c) (i)	3	2	3	2	0	**10**
(ii)	2	2	3	3	0	**10**
Total	**25**	**25**	**20**	**20**	**10**	**100**

In planning your report, you should be aware that not attempting one of the requirements, including an executive summary and accounting and reporting issues in Exhibit-5, will have a significantly detrimental effect on your chances of success. In addition, as indicated above, all skills areas will be assessed under each element of your report.

You should be clear that marks are awarded for demonstrating your professional skills, not for reproducing facts from the case. To be successful, you will need to:

- Demonstrate your knowledge of the case material and make use of your analysis.
- Carry out relevant analysis of the problems and structure of your proposed solutions.
- Apply your judgment based on the analysis that you have carried out.
- Draw conclusions from your analysis and judgment in developing practical commercial recommendations.
- Ethical issues may cover the following topic-
  - Lack of professional independence or objectivity
  - Conflict of interest among stakeholders
  - Doubtful accounting or commercial practice or market competition or Market proximity
  - Inappropriate pressure to achieve a reported result.
  - Compliance of local laws and regulations
- Integrative & multidisciplinary skills may cover the following areas-
  - Depletion and wastage of natural resources and its impact on environment and climate change.
  - Impact on pollution, on the public health and productivity and on the national health budget.
  - Social impacts, e.g., social unrest for allowing use of alcohol, bar, etc.
  - Economic impacts, e.g., on employment generation and improvement in connectivity using ICT.

LIST OF EXHIBITS

Exhibit	Description	Page reference
1	E-mail from Mr. Foyzul Islam, Managing Director, Luna to Mr. Muhammed Reza Khan FCA, Managing Partner of MRKC, requesting an advisory report addressed to the Luna's Board of Directors.	4
2	A brief note on Luna HomeTech Limited and its operation.	5 – 9
3	Summary and Extracts of Financial Statements of the Luna HomeTech Limited	10 – 11
4	A brief note on Consumer Electronic Product Industry of Bangladesh.	12 – 13
5	E-mail from Head of Reporting on accounting & compliance issues.	14
6	E-mail from Director-Finance regarding strategic investment options and financing alternatives.	15 – 16
7	Article on "Environmental, Health & Ethical Issues of the Consumer Electronics Industry in Bangladesh"	17
8	News clips and articles about Luna and Consumer Electronic Product Sector	18

List of persons in the Case and their Roles

SL.	Names	Roles
1	Jakia Sultana (You)	Senior Manager at MR Khan & Co.
2	Muhammed Reza Khan FCA	Managing Partner at MRKC
3	Md. Hafizur Rahman	Founder & Chairman of Luna HomeTech Limited
4	Foyzul Islam	Managing Director of Luna
5	Nusrat Jahan FCA	Director - Finance
6	Shahriar Alam	Director - Sales
7	Mahbubur Rahman	Director – Operations
8	Rafiqul Islam FCA	Chief Financial Officer
9	Ashraful Islam ACA	Head of Reporting
10	Farid Uddin Ahmed	Head of Sales
11	Sadia Islam	Head of Marketing
12	Tanvir Hasan	Head of Supply Chain
13	Meherun Nesa	Head of HR & Admin
14	Adv. Mahmudul Kabir	Company Secretary

EXHIBIT – 1

E-MAIL

From : Mr. Foyzul Islam, Managing Director, Luna HomeTech Limited
To : Mr. Muhammed Reza Khan FCA, Managing Partner, MR Khan & Co.
Subject : Request for advisory report on several matters.
Date : 12 May 2026

Dear Mr. Khan,

I hope this email finds you well. The board of Luna HomeTech Limited (Luna) have requested for advisory services from you with following scope of work but not limited to:

- Assessing and analyzing business operations and performance for formulating business strategies.
- Evaluating strategic options and viability of financing investment opportunities considering past performance & prospects of the company and related business issues.
- Assisting us in raising funds through initial public offering (IPO) of shares, issuance of Bond and perform necessary evaluation of investment options, Risk Management, Governance, Due Diligence, Restructuring, etc.
- Reviewing and advising on various Accounting, Tax, financial and internal control related issues of the company.
- Supporting various regulatory and secretarial matters as and when solicited.
- Modelling a range of scenarios to help evaluate the viability of proposed initiatives.

We have prepared the draft financial statements of Luna HomeTech Limited for 31 December 2025 which will be shared with the Board of directors soon. The board has requested you to review the draft and suggest necessary adjustments to be made before finalized. The board also requested your input on two strategic options which board is currently evaluating. We need your analysis and advice on our financial positions and strategic alternatives as early as possible as final decisions will be taken in our forthcoming board meeting. I have attached with this email brief note on background of Luna including its business operation **(Exhibit 2)**. I have also attached the extracts of our latest draft financial statements (**Exhibit 3)** and a recent article published in a business magazine regarding consumer electronics industry of Bangladesh (**Exhibit 4**). In addition, you will receive emails from our Head of Reporting (**Exhibit 5**) and Finance Director (**Exhibit 6**) regarding accounting & compliance issues and prospective investment options respectively. We expect you to consider other relevant information available (**Exhibits 7 & 8)** while drawing your conclusion and sharing recommendations to us on the requirements stated below.

We expect a ***draft report*** along with your workings (where applicable) addressing to the board. Your report should include an ***Executive Summary*** and cover:

(a) (i) Analyze the financial statements in **Exhibit-3** considering the reporting & compliance issues from **Exhibit-5** as well as non-financial information from other exhibits**.**

(ii) Perform a SWOT analysis on Luna HomeTech Limited and its business and operations.

(b) (i) Analyze the investment options using NPV method and recommend to the board with justifications the option to be selected considering compatibility with Luna's missions & vision statement.

(ii) Determine the maximum share premium that will be acceptable to BSEC and the number of shares to be issued in IPO. Comment on whether it exceeds Luna's acceptable ownership threshold.

(iii) Evaluate whether bank borrowing would be a viable financing option.

(c) (i) Comment on the ethical issues involving Luna's existing and planned business, and its stakeholders.

(ii) Assess Human, Social, Economic and Environmental sustainability in Luna's business operations.

I look forward to receiving your draft report on or before 20 May 2026.

Yours sincerely,
Foyzul Islam
Managing Director
Luna HomeTech Limited

EXHIBIT – 2

A brief note on Luna HomeTech Limited and its business operations.

About Luna HomeTech Limited

Luna HomeTech Limited (Luna) is a consumer electronic product trading company headquartered in Dhaka, Bangladesh. The company specializes in designing, manufacturing, and marketing modern home electronic products that make everyday living more comfortable, efficient, and convenient.

The company was started in 1999 by two young entrepreneurs and electronics professionals with a vision to provide high-quality, affordable, and reliable home technology solutions for households and small businesses. Luna began its journey as small electronics trading business, initially traded low-end Chinese home appliances and electronic accessories through local retail channels. As business increased, the founders identified an opportunity to develop their own brand and consumer electronics outlets named '*Luna Electronics*'. Luna now has more than 50 outlets across the country where it sells products of multiple global brands as well as its own 'Luna' branded local products.

Luna operates as a growing consumer electronics product seller, serving customers through retail outlets, dealers, online platforms, and corporate sales channels. The company remains committed to innovation, customer satisfaction, energy efficiency, and delivering dependable home technology products at accessible prices. Luna offers a comprehensive range of consumer electronic products in its outlets. These includes:

Product Category	Example Products
Kitchen Appliances	Refrigerators, Ovens, Rice cookers, Blenders, Kettles, Air fryers, Water filter
Air Solutions	Air Conditioners, Air Coolers, Heaters, Air purifiers, Fans
Cleaning Solutions	Washing machines, Vacuum cleaners, Steam cleaners, Electric & steam irons
Electrical Accessories	Stabilizers, LED bulbs, Panel lights, Tube lights, Extension sockets, Chargers
Personal Care	Hair dryers, Trimmers, Hair straighteners, Electric toothbrushes, Weighing scales
Entertainment Products	Televisions, Cameras, Speakers, Headphones, Smart plugs, Smart lights

Board of Directors and Key Management Personnel

Luna has a team of experienced leaders to drive it to success. Its board of directors sets up long-term strategies whereas the key management personnel execute the strategies.

Name	Position	Responsibilities
Md. Hafizur Rahman	Chairman of Board	Leads the Board and guides long-term strategy. Holds 40% Share.
Foyzul Islam	Managing Director	Oversee overall business growth and performance. Holds 30% Share.
Nusrat Jahan FCA	Director - Finance	Supervises finance, investment, and budgeting decisions. Holds 10% Share
Shahriar Alam	Director - Sales	Guide sales strategy and distribution expansion. Holds 10% Share
Mahbubur Rahman	Director – Operations	Oversees procurement, logistics, and daily operations. Holds 10% Share
Rafiqul Islam FCA	Chief Financial Officer	Handles accounts, reporting, tax, audit, and cash flow.
Ashraful Islam ACA	Head of Reporting	Prepares reports, ensures compliance, and coordinates audits.
Farid Uddin Ahmed	Head of Sales	Manages sales targets, dealers, and retail channels.
Sadia Islam	Head of Marketing	Leads branding, campaigns, and product promotions.
Tanvir Hasan	Head of Supply Chain	Manage sourcing, vendors, inventory, and distribution support.
Meherun Nesa	Head of HR & Admin	Manages recruitment, employees, training, and administration.
Adv. Mahmudul Kabir	Company Secretary	Handles legal matters, filings, contracts, and compliance.

Mission & Vision

Luna has been built on a simple but powerful belief that everyday people, families, and communities deserve home technology products they can trust. Guided by this belief, Luna's mission is ***to create durable, affordable, and reliable consumer electronics and home appliances that make daily life easier, safer, and more comfortable***. The company strives to combine modern manufacturing practices with responsible business principles so that every product carries the assurance of quality, care, and dependable performance.

Luna's vision is ***to become one of the most trusted and innovative consumer electronics brands in Bangladesh.*** It also wants to become a well-recognized international brand. The company aims to introduce new and improved product lines, adopt energy-efficient technologies, and continuously raise standards in quality, service, and sustainability.

Business Model

Target Customer

Luna serves a wide range of customers across both retail and institutional markets. As a consumer electronics and home appliance company, its customer base includes individuals, households, retailers, dealers, small businesses, and corporate buyers.

- **Household Customers**
  The primary customers of Luna are everyday households looking for affordable and reliable home appliances. These customers usually value durability, price, warranty support, and ease of use.

- **Retailers and Dealers**
  Retail shops, electronics outlets, and local dealers are important customer segments for Luna. They purchase products in bulk and resell them to end users. A strong dealer network helps Luna expand its market presence across urban, semi-urban, and rural areas.

- **Online Customers**
  With the growth of e-commerce and social media-based selling, Luna also serves digital customers through online marketplaces, its own website, and social media channels. These customers often compare prices, reviews, product features, and delivery options before purchasing.

- **Corporate and Institutional Buyers**
  Luna also sells products to offices, hotels, restaurants, schools, hospitals, housing projects, and government or private institutions. These customers usually purchase in bulk and require reliable delivery, product warranties, and formal service agreements.

Revenue Streams

Luna generates revenue through a diversified model combining retail sales, dealer distribution, online channels, corporate supply, and after-sales services. This multi-channel approach helps the company reach household customers, retailers, institutions, and digital buyers across Bangladesh.

1. **Retail Sales**
   Retail sales come from selling Luna's products directly to end customers through company outlets, partner retail stores, and electronics showrooms. This channel mainly serves household consumers purchasing kitchen appliances, fans, refrigerators, air conditioners, lighting products, personal care electronics, and other home appliances.

2. **Dealer & Distributor Sales**
   Dealer and distributor sales are generated by selling products in bulk to dealers, distributors, and retail partners, who resell them in different regions. This channel helps Luna expand market coverage across urban, semi-urban, and rural areas without operating its own stores everywhere.

3. **E-commerce Sales**
   E-commerce sales come from online marketplaces and the company website. This stream targets digitally active customers who prefer comparing prices, reading reviews, making digital payments, and receiving products through home delivery.

4. **Corporate & Institutional Sales**
   Corporate and institutional sales refer to bulk supply to offices, hotels, restaurants, educational institutions, hospitals, real estate developers, and other organizations. Examples include supplying air conditioners to offices, refrigerators to hotels, lighting products to commercial buildings, or appliances to apartment projects.

5. **After-Sales Service & Extended warranty Income**
   Luna earns additional revenue from paid repairs, maintenance, and installation support for expired warranty products. It also earns from offering extended warranty plans. This is especially relevant for products such as air conditioners, refrigerators, washing machines, televisions, and other appliances that require service. It also improves customer satisfaction and brand loyalty.

6. **Spare Parts & Accessories Sales**
   This revenue stream includes selling replacement parts, components, and add-on products such as remote controls, chargers, cables, filters, motors, blades, switches, adapters, and appliance-specific parts. Availability of genuine spare parts helps customers use products longer and builds confidence in the brand.

7. **Commission Income**
   Commission income arises when Luna acts as a sales agent, distributor, marketplace partner, or service facilitator for selected third-party brands or products. The company may earn commissions from selling partner products, arranging corporate supply deals, facilitating installations, or supporting promotional campaigns.

Value Chain Analysis

Luna's value chain consists of activities that help the company source, manufacture, distribute, sell, and service consumer electronics and home appliance products. The analysis below explains what Luna does at each stage of the value chain and how each activity contributes to business performance.

Primary Activities:

Inbound Logistics:

At the inbound logistics stage, Luna manages the sourcing, receiving, inspection, and storage of raw materials, electronic components, packaging materials, finished goods, and spare parts required for its product lines. The company sources items such as motors, circuit boards, compressors, LED components, plastic parts, metal parts, switches, cables, batteries, cartons, and product accessories from local and international suppliers. Luna ensures that incoming materials are checked for quality, quantity, and specification before they are accepted into inventory. The company also maintains proper stock records to avoid production delays and shortages. By managing inbound logistics efficiently, Luna can control procurement costs, maintain product quality, and ensure timely production or assembly.

Operations, Manufacturing and Assembly:

During the operations stage, Luna converts raw materials, components, and sourced items into finished consumer electronics and home appliance products. The company manufactures or assembles products such as fans, rice cookers, blenders, electric kettles, refrigerators, air conditioners, LED lights, personal care electronics, and electrical accessories. Luna performs product assembly, basic engineering work, testing, packaging, labeling, and preparation for market delivery. For selected products, the company may import components and complete local assembly under its own brand. This stage allows Luna to add value by ensuring that products are functional, properly finished, attractively packaged, and ready for customer use.

Quality Assurance and Product Compliance:

During the quality assurance, Luna checks whether its products meet required quality, safety, and performance expectations before they are released to the market. The company conducts product testing, electrical safety checks, durability inspections, packaging reviews, and performance verification for different product categories. For appliances such as refrigerators, air conditioners, kettles, irons, fans, and LED lights, Luna ensures that products are safe, reliable, and suitable for regular household use. The company also reviews product defects, customer complaints, and warranty claims to improve future product quality. Through this activity, Luna reduces product returns, protects its brand reputation, and builds customer confidence.

Outbound Logistics and Distribution:

Through outbound logistics, Luna manages the storage, dispatch, transportation, and delivery of finished products to customers and sales partners. Products are moved from warehouses to dealers, distributors, retail outlets, e-commerce

customers, and corporate or institutional buyers. Luna uses its distribution network to make products available across urban, semi-urban, and rural markets. The company also coordinates safe handling and transportation of large appliances such as refrigerators, air conditioners, washing machines, and televisions to reduce damage during delivery. Efficient distribution helps Luna maintain market availability, meet customer demand, and support sales growth.

Sales and Marketing:
Sales & marketing helps Luna to promote its products, build brand awareness, and generate demand among customers. The company carries out retail promotions, dealer campaigns, product demonstrations, seasonal offers, digital marketing, social media engagement, corporate sales initiatives, and participation in trade fairs. Luna's marketing activities highlight the key benefits of its products, such as affordability, durability, energy efficiency, modern design, warranty support, and after-sales service. The sales team works with dealers, retailers, online platforms, and institutional clients to increase revenue and expand market coverage. Through effective sales and marketing, Luna strengthens its brand position and attracts new customers.

Customer Service and After-Sales Support:
Luna provides support to customers after product purchase. The company manages warranty claims, repairs, installation support, spare parts availability, customer complaints, service center operations, and extended warranty services. For products such as air conditioners, refrigerators, washing machines, televisions, and other major appliances, Luna provides technical support and maintenance services where required. This activity helps the company retain customers, improve satisfaction, and build long-term trust. It also creates additional revenue opportunities through paid repairs, spare parts, installation services, and extended warranty packages.

Support Activities:
Support activities are essential for ensuring the smooth operation and continued success of Luna. These activities provide the necessary infrastructure, resources, and services that enable Luna to deliver high-quality products efficiently and reliably.

Procurement Management:
Luna manages supplier selection, price negotiation, purchase orders, import and local sourcing, and vendor performance evaluation to ensure the timely availability of quality materials, components, finished goods, spare parts, and services. By maintaining reliable supplier relationships and clear procurement standards, the company controls costs, reduces supply disruptions, supports production continuity, and maintains consistent product quality across its product portfolio.

Human Resource Management:
Luna recruits, trains, and manages employees across manufacturing, quality control, sales, marketing, logistics, finance, customer service, and administration. The company focuses on developing product knowledge, technical skills, customer service capability, workplace safety awareness, and performance discipline. This helps improve employee productivity, reduce operational errors, strengthen service quality, and support the company's long-term growth.

Administration and Infrastructure:
Luna manages office facilities, factory premises, warehouses, utilities, transport, security, documentation, maintenance, and general administrative support. These activities provide the operational foundation required for smooth production, safe storage of goods, timely product delivery, employee coordination, and day-to-day business continuity across all departments.

Legal, Compliance and Corporate Governance:
Luna ensures that its operations comply with legal, regulatory, tax, labor, product, and corporate governance requirements. The company manages business licenses, contracts, supplier and dealer agreements, employment documentation, warranty terms, corporate records, and internal approval processes. Strong compliance and governance practices help Luna reduce legal risk, improve accountability, and strengthen credibility with banks, suppliers, customers, and regulators.

Technology and Systems Development:
Luna uses technology and business systems for inventory control, sales tracking, accounting, procurement, warranty registration, customer service, e-commerce, and management reporting. These systems help the company monitor

stock movement, track sales performance, manage customer complaints, process service requests, reduce manual errors, and make faster data-driven decisions across departments and sales channels.

Financial Management:
Luna's finance team manages budgeting, costing, accounting, cash flow, tax, audit coordination, financial reporting, and profitability analysis. The finance function tracks revenue, expenses, inventory costs, dealer receivables, supplier payments, warranty provisions, and working capital requirements. This supports pricing decisions, cost control, compliance, audit readiness, investment planning, and sustainable business growth.

Financial reporting & Auditing
Luna is a Public Interest Entity (PIE) based on financial threshold set by the Financial Reporting Council (FRC) of Bangladesh. It prepares its financial statement in accordance with IFRS Accounting Standards. Its accounting department has prepared a draft financial statement (**EXHIBIT - 3**) for recently ended financial year which will be shared with Auditor. Luna has appointed Hossain Billal & Co., Chartered Accountants (HBC) as auditor for the year ended 31 December 2025 by replacing prior year auditor. Luna's finance team had disagreement with prior year's auditor regarding inventory where auditor suggested to write down some old model inventories due to lower net realizable value compared to inventory cost. Luna believes it will be able to sell its inventory at least at cost.

Investing & financing strategy
Luna's investment strategy is focused on strengthening production capacity, product quality, distribution efficiency, and customer service. The company aims to invest in manufacturing and assembly facilities, quality control systems, warehousing, digital platforms, product development, and after-sales service infrastructure to support sustainable growth and enhance market competitiveness.

Luna's financing strategy is based on maintaining a balanced mix of internal and external funding. Long-term investments may be financed through equity, retained earnings, term loans, or lease financing, while short-term requirements such as inventory, supplier payments, and seasonal stock may be supported through working capital facilities, supplier credit, and operating cash flow. This approach enables Luna to pursue growth while maintaining financial stability and effective cash flow management.

Health & Safety policy
Luna is committed to providing a safe, healthy, and secure working environment for all employees, workers, contractors, visitors, and business partners. As a consumer electronics company, Luna maintains appropriate safety standards across its manufacturing, assembly, warehousing, testing, and distribution activities, with particular focus on electrical safety, machine safety, fire prevention, safe material handling, workplace hygiene, and proper supervision of high-risk activities. To prevent accidents and occupational health risks, Luna has implemented regular inspection and maintenance of machinery and electrical systems, installation of fire safety equipment, proper storage of materials, use of personal protective equipment, safety signage, clear emergency exits, and good housekeeping practices. The company also conducts safety training, emergency drills, first-aid preparedness, and incident reporting to ensure employees understand workplace hazards and follow safe work practices.

Corporate Social Responsibility
Luna is committed to conducting its business responsibly by creating value for customers, employees, communities, and the environment. As a consumer electronics company, Luna's CSR and sustainability approach focuses on safe and energy-efficient products, responsible sourcing, employee welfare, customer awareness, and meaningful community support. The company also works to reduce its environmental impact through efficient use of resources, reduced waste, sustainable packaging practices, and awareness on proper disposal of electronic waste.

Followings are the impact metrics from its CSR activities:

- Introduced energy-efficient appliances and lighting products.
- Used recyclable packaging for selected products.
- Reduced electricity, water, and paper use in operations.
- Donated lights, fans, and small appliances to communities in need.
- Supported internships and technical training for young technicians.
- Conducted workplace safety training for employees.
- Encouraged responsible handling of damaged electronic products and spare parts.

EXHIBIT – 3

Summary and Extracts of Draft Financial Statements of Luna HomeTech Limited

Statement of Profit or Loss and Other Comprehensive Income

For the year ended on 31 Dec 2025

	Note	31-Dec-25	31-Dec-24
		BDT	BDT
Revenue	1	15,746,980,249	13,247,307,041
Cost of Revenue	2	(11,384,393,592)	(9,736,089,877)
Gross profit		**4,362,586,657**	**3,511,217,164**
Operating expenses		(2,220,038,593)	(1,968,457,173)
Other income		128,186,180	153,003,879
Operating profit		**2,270,734,244**	**1,695,763,870**
Finance income		311,073,822	30,792,054
Finance costs		(1,587,227,620)	(1,017,633,470)
Profit before workers' profit participation fund		**994,580,446**	**708,922,454**
Contribution to workers' profit participation fund		(49,729,022)	(35,446,123)
Profit before taxation		**944,851,424**	**673,476,331**
Income tax expense		(191,473,958)	(156,361,415)
Profit after tax		**753,377,466**	**517,114,916**
OCI: Remeasurement of defined benefit liability, net of tax		(40,308,902)	12,697,819
Total comprehensive income for the year		**713,068,564**	**529,812,735**

Extracts of Notes to the financial statements

		31-Dec-25	31-Dec-24
Note 1:	**Revenue**		
	Kitchen Appliances	9,605,657,952	8,213,330,365
	Air Solutions	4,409,154,470	3,576,772,901
	Entertainment & others	1,732,167,827	1,457,203,775
		15,746,980,249	**13,247,307,041**
Note 2:	**Cost of Revenue**		
	Kitchen Appliances	6,716,792,219	5,744,293,027
	Air Solutions	3,335,627,322	2,794,257,795
	Entertainment & others	1,331,974,051	1,197,539,055
		11,384,393,592	**9,736,089,877**

Statement of Changes in Equity
As of 31 Dec 2025

Amounts in BDT

Particulars	Share capital	Revaluation reserve	Reserve for actuarial differences	Retained earnings	Total equity
Balance at 1 January 2024	**2,007,900,000**	**473,816,160**	**13,343,717**	**1,898,630,378**	**4,393,690,255**
Profit for the year	-	-	-	517,114,916	517,114,916
Other comprehensive income	-	-	12,697,819	-	12,697,819
Transfer of depreciation on revaluation surplus	-	(2,390,277)	-	2,390,277	-
Dividend payment from profit of 2023	-	-	-	(247,761,553)	(247,761,553)
Balance at 31 December 2024	**2,007,900,000**	**471,425,883**	**26,041,536**	**2,170,374,018**	**4,675,741,437**
Profit for the year	-	-	-	753,377,466	753,377,466
Other comprehensive income	-	-	(40,308,902)		(40,308,902)
Transfer of disposal of revalued assets	-	(6,979,300)	-	6,979,300	-
Transfer of depreciation on revaluation surplus	-	(1,701,422)	-	1,701,422	-
Dividend payment from profit of 2024	-	-	-	(270,789,015)	(270,789,015)
Balance at 31 December 2025	**2,007,900,000**	**462,745,161**	**(14,267,366)**	**2,661,643,191**	**5,118,020,986**

Statement of Financial Position

As of 31 Dec 2025

	31-Dec-25	31-Dec-24
Assets	BDT	BDT
Non-current assets		
Property, plant and equipment	7,949,724,342	7,055,208,775
Right-of-use assets	2,137,042,297	2,165,920,652
Investments	886,527,717	787,114,556
Deferred tax assets	150,017,089	70,976,566
Intangible assets	38,073,354	8,666,572
Advances, deposits and prepayments	27,453,256	26,641,320
	11,188,838,055	**10,114,528,441**
Current assets		
Inventories	6,800,487,893	6,662,889,849
Trade and other receivables	2,435,728,956	2,017,254,647
Advances, deposits and prepayments	2,816,464,821	3,424,578,370
Cash and cash equivalents	430,660,380	663,718,272
	12,483,342,050	**12,768,441,138**
Total assets	**23,672,180,105**	**22,882,969,579**
Equity & liabilities		
Equity		
Share capital	2,007,900,000	2,007,900,000
Revaluation Surplus	462,745,161	471,425,883
Reserve for Actuarial Differences	(14,267,366)	26,041,536
Retained earnings	2,661,643,191	2,170,374,018
	5,118,020,986	**4,675,741,437**
Non-current liabilities		
Defined benefit obligations	38,945,858	7,395,618
Long term debt	2,110,018,645	2,672,137,720
Lease liabilities	978,446,521	965,705,949
Other liabilities	644,840,042	623,122,956
	3,772,251,066	**4,268,362,243**
Current liabilities		
Trade and other payables	5,883,451,489	5,438,120,825
Short-term borrowings - secured	7,497,348,905	7,154,722,973
Long term debt current portion	1,216,067,948	1,168,575,506
Lease liabilities	185,039,711	177,446,595
	14,781,908,053	**13,938,865,899**
Total liabilities	**18,554,159,119**	**18,207,228,142**
Total equity and liabilities	**23,672,180,105**	**22,882,969,579**

5 Year Financial Summary

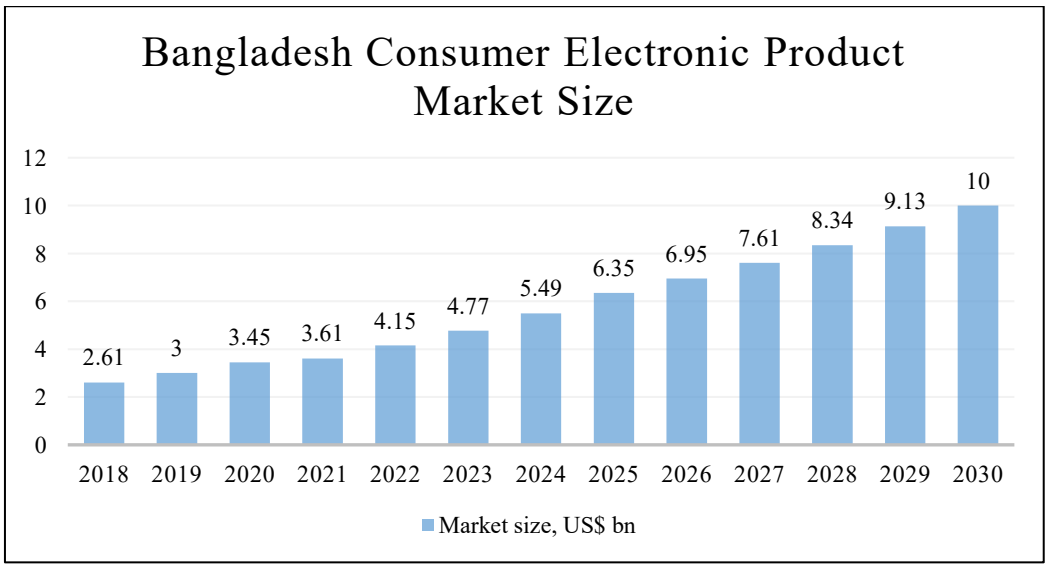
Figures in BDT

Highlighted Area	2025	2024	2023	2022	2021
Revenue	15,746,980,249	13,247,307,041	11,260,210,985	9,571,179,337	8,135,502,436
Gross Profit	4,362,586,657	3,511,217,164	2,815,052,746	2,297,083,041	1,993,198,097
Net Profit for the year	753,377,466	517,114,916	405,367,595	373,275,994	292,878,088
Shareholders' Equity & Reserves	5,118,020,986	4,675,741,437	4,503,269,702	4,348,915,816	4,261,824,510
Total Assets	23,672,180,105	22,882,969,579	21,624,406,252	20,867,552,033	20,032,849,952
Total Current Assets	12,483,342,050	12,768,441,138	13,190,887,814	14,398,610,903	9,615,767,977
Total Current Liabilities	14,781,908,053	13,938,865,899	13,740,508,140	14,116,285,199	9,071,479,224
Dividend	270,789,015	247,761,553	232,895,860	218,922,108	205,786,782

A brief note on the Consumer Electronics Product Industry in Bangladesh.

Bangladesh's consumer electronics product industry has gradually transformed from an import-dependent trading sector into a growing manufacturing and assembly-based industry. In the earlier stage, most household electronic products such as televisions, refrigerators, air conditioners, fans, and kitchen appliances were imported and distributed through local traders and retailers. The modern manufacturing phase gained momentum in the 2000s, when local companies began investing in factories, assembly lines, technology, and backward linkage facilities.

The industry progressed significantly over the last decade due to rising household income, rapid urbanization, wider rural electrification, growing access to consumer finance, and increasing demand for modern lifestyle products. The government's emphasis on "Made in Bangladesh" products also supported local manufacturing by encouraging investment in electronics and electrical equipment. According to the Bangladesh Investment Development Authority, the sector benefits from a large domestic market, rising middle-class consumers, favorable incentives, increasing digitalization, and growing demand for electronic appliances. At present, the industry is increasingly production oriented. Bangladesh now manufactures and assembles refrigerators, televisions, air conditioners, mobile phones, fans, lighting products, batteries, kitchen appliances, and electrical accessories. Domestic manufacturers are competing with international brands, while some multinational companies have also entered local assembly and manufacturing arrangements. Bangladesh was once fully dependent on imports but has made a breakthrough in the sector over the last decade, supported by policy incentives and large-scale investment.



Source: BIDA

The current market outlook remains promising. BIDA estimated that current consumer electronics market is around USD 6 billion with a compound annual growth rate of 15% and expected to cross USD 10 billion by 2030. This growth is being driven by increasing demand for refrigerators, televisions, air conditioners, mobile phones, home appliances, lighting products, and energy-efficient electronic goods.

The sector's progress is supported by several internal advantages. Bangladesh has a large and expanding consumer base, competitive labor costs, growing technical capability, expanding dealer networks, and improving after-sales service infrastructure. Local brands have also gained customer confidence by offering affordable products suited to domestic purchasing capacity. Wider access to electricity, urban expansion, increasing women's participation in the workforce, internet usage, smartphone penetration, and consumer credit have further increased demand for electronic products. These factors are major drivers of growth for the electronics and electrical equipment industry.

However, the industry still faces structural limitations that may affect its competitiveness. Many manufacturers remain dependent on imported raw materials, components, specialized machinery, compressors, panels, chips, and other electronic parts. As a result, production costs are sensitive to exchange-rate movements, import restrictions, foreign currency shortages, and global supply-chain disruptions. Industry participants have also raised concerns regarding rising raw material prices, appreciation of the US dollar, higher interest rates, and increasing energy costs. The sector also requires greater investment in research and development, product design, skilled technicians, testing

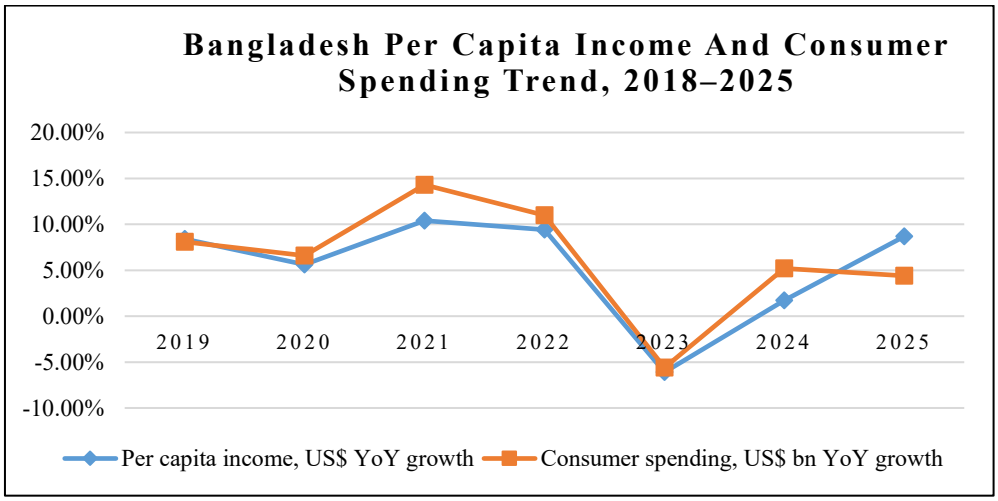
laboratories, international certifications, and advanced manufacturing technology to compete more effectively in global markets. The sector significantly lacks investment in Research & Development.

Exports have become an important indicator of the industry's maturity. Bangladesh exports consumer electronics and electrical goods such as refrigerators, air conditioners, televisions, fans, cables, switches, sockets, circuit breakers, batteries, and power transformers. According to Export Promotion Bureau data, Bangladesh earned USD 105 million in FY2022–23 where the previous year's actual earnings were USD 100.10 million.

Export destinations and international acceptance are gradually expanding. Bangladeshi companies now export consumer electronic goods, including refrigerators, air conditioners, and televisions, to more than 40 countries, including India, Nepal, and Malaysia. It is also reported that "Made in Bangladesh" electronics, including ACs, refrigerators, televisions, and other home appliances, are now exported to over 65 countries. These developments indicate that the sector is no longer limited to import substitution but is gradually moving toward export-oriented growth.

The prospects of the industry are significant. Demand for refrigerators, air conditioners, washing machines, smart televisions, kitchen appliances, lighting products, and smart home devices is expected to rise as income levels increase and lifestyles become more technologically driven. With continued investment in quality improvement, product innovation, energy-efficient technologies, and international market development, Bangladesh has the potential to become a competitive regional hub for consumer electronics and home appliances.

However, the industry's progress may be constrained if production costs continue to rise or if policy support becomes inconsistent. Recent tax policy changes have created concerns among manufacturers. Local manufacturers of refrigerators, air conditioners, motorcycles, and compressors will face a higher tax rate of 20% from FY2026 till FY2032 instead of the existing 10% tax rate. Industry representatives have warned that frequent policy changes may discourage investment, weaken competitiveness, and create uncertainty for capital-intensive manufacturing businesses.



Source: Bangladesh Bureau of Statistics

Regulatory facilities have nevertheless played an important role in the sector's development. The government has offered fiscal and non-fiscal incentives, reduced import duties on raw materials, and corporate tax support to encourage local manufacturing. BIDA notes that favorable incentives for "Made in Bangladesh" products have supported investment in electronics and electrical equipment. The National Board of Revenue previously offered tax privileges for manufacturers of refrigerators, freezers, motorcycles, and air conditioners, with concessional tax rates intended to support domestic industrialization.

The industry also faces environmental and compliance responsibilities, particularly in relation to electronic waste. Bangladesh introduced the Hazardous Waste (E-waste) Management Rules, 2021 under the Bangladesh Environmental Protection Act, 1995. These rules cover home appliances, IT and communication equipment, medical equipment, monitoring devices, and other electrical and electronic products. They require manufacturers, sellers, transporters, repairers, collectors, recyclers, and dismantlers to register with the Department of Environment and prepare waste electrical and electronic equipment management plans. The rules also require producers and importers to meet collection targets beginning at 10% in the first year and increasing to 50% from the fifth year onward.

EXHIBIT – 5

E-mail on Reporting and Compliance issues

From **:** Ashraful Islam ACA, Head of Reporting, Luna HomeTech Limited
To : Mr. Muhammed Reza Khan FCA, Managing Partner, MR Khan & Co.
Subject : Accounting, reporting and compliance issues.
Date : 13 May 2026

Dear Mr. Khan
We have prepared the draft financial statements (EXHIBIT-3) of Luna HomeTech Limited for the year ended on 31 December 2025. As mentioned in the email to you from our Managing Director, Board of Directors has requested you review the draft before it is finalized and shared with auditors. I am sharing a few issues that are yet to be incorporated in the draft. We are requesting you to assist us on making appropriate adjustments to the financial statements in accordance with IFRSs and consider them in your analysis in the report.

Installment Sales:
Luna typically offers installment facilities to credit-card holders of several partner banks, allowing customers to make purchases payable over three to six monthly installments at 0% interest. However, toward the end of the reporting period, Luna entered into a special agreement with an SME entrepreneur who required electronic products for a newly established factory. Under this arrangement, Luna sold electronic products amounting to BDT 7,000,000, of which BDT 1,000,000 was paid upfront in cash, while the remaining balance is payable over three annual installments at 0% interest. Luna only recognized the cash amount as revenue.

Year-end exchange offer:
During the final week of the year, Luna introduced a year-end exchange offer under which customers received a discount of BDT 7,500 on the purchase of a new television in exchange for their old unit. By the end of the promotional period, a total of 250 televisions had been exchanged, generating cash sales amounting to BDT 6,250,000. These sales from the exchange offer have not yet been recognized in the financial statements. Luna estimates that each exchanged television can be disposed of for approximately BDT 2,500.

Discount on Colorion TV:
Luna sells electronic products from a range of local and international brands, including the Chinese brand "Colorion," which has traditionally appealed to lower-income customers. Last year, Luna imported a shipment of Colorion televisions; however, media reports later suggested that the product could negatively affect eyesight, leading to a sharp decline in demand. As of the reporting date, 3500 units remain in inventory at a cost of BDT 14,000 each. Although the original selling price was BDT 22,000, management now plans to offer these units at a 50% discount to clear up the remaining stock.

Customer Lawsuit:
Luna expanded its product portfolio by introducing items branded under its own name but produced by a local electronics manufacturer. During the year, a customer has filed a lawsuit alleging that a Luna-branded television caught fire due to low-quality wiring materials causing damage to household furniture and injuries to family members. The customer is seeking compensation of BDT 2,500,000. Luna's investigation confirmed the use of substandard wiring, and the company has requested reimbursement from the manufacturer; however, the vendor has not yet agreed to cover the claim. No entry has been recorded in relation to lawsuit and reimbursement claim

Unpaid import duties:
During a recent import, our Tax and VAT consultant mistakenly selected the wrong HS code which resulted in payment of lower import duties. Customs authority later identified the error and imposed underpaid duties of BDT 2,700,000 along with a penalty of BDT 300,000. Luna has not yet recorded or paid the import duties. At year-end, half of the related inventory remains unsold.

Website cost and customer database:
During the year, Luna capitalized BDT 750,000 as an intangible asset for the redesign of its website. This redesign introduced enhanced features aimed at improving customer interaction and enabling the collection and analysis of customer information. The new platform allows users to create profiles, review past purchases, participate in loyalty programs, and manage product warranties, while also offering a more interactive browsing experience. As the upgraded system has begun generating a growing pool of structured customer data that supports targeted product promotion, management now believes this customer database has a fair value of BDT 10,000,000 and intends to capitalize it.

EXHIBIT – 6

E-Mail on Strategic investment options and financing alternatives

From : Nusrat Jahan FCA, Director- Finance, Luna HomeTech Limited
To : Mr. Muhammed Reza Khan FCA, Managing Partner, MR Khan & Co.
Subject : Strategic investment options and financing alternatives.
Date : 13 May 2026

Dear Mr. Khan
Our board members have requested your input on the investing and financing decisions that are currently being discussed. At present our board is considering two investment options which are mutually exclusive. For analysis purposes, the consider 30% income tax. It is also assumed that all cash flows, other than initial cash outflow, accrue at the year end. For apprising the investment options, board requires the discount rate be determined applying Capital Asset Pricing Model (CAPM). For investment, the Board considers coupon rate of 10-year government bond as risk free rate. As of 30 April 2026, relevant information was as below:

Coupon rate of 10-year government bond: 10.8%	Market Return : 12.4%	Current Market beta: 1.35

Option 1: Setting up a manufacturing & assembly facility

Luna has traditionally sourced its Luna-branded products from a local third-party vendor; however, management now believes it is the right time for the company to establish its own a mid-sized manufacturing and assembly facilities. By producing items locally or assembling imported components, Luna aims to strengthen control over product quality and enhance its market credibility. In the initial phase, the company plans to manufacture and assemble televisions, refrigerators, and air conditioners, which are its core product lines with strong and stable demand. Management expects that developing in-house production capabilities will allow Luna to leverage its growing technical expertise, improve operational efficiency, and build a more resilient supply chain, ultimately positioning the company for long-term competitiveness in the consumer electronics market.

The board estimated that it will take two years to complete acquiring and developing land, construction of the facility and installation of necessary machinery. The board estimates that it will require BDT 600,000,000 in the first year and BDT 800,000,000 in the second year. Luna expects to start manufacturing and assembling from the beginning of third year. has conducted market research which indicates a probable revenue of BDT 1,900,000,000 in 3rd year, which will grow 25% annually in 4th year and 18% in the subsequent years. Direct expenses are expected to remain constant at 70%. Operating expenses in first and second year are expected to be BDT 4,000,000. From 3rd year onward operating expense is expected to be 22% of revenue and increase by 15% annually in subsequent years. Free cash flow is expected to increase to 4% after 5th year.

Option 2: acquisition of E-commerce Platform

Consumer buying behavior has increasingly shifting toward online channels, as digital platforms offer greater convenience through easy product search, price comparison, and doorstep delivery. Luna's management believes this is an opportune time to acquire a well-established online marketplace or e-commerce platform to strengthen its digital presence and directly engage with customers. Board has been planning to acquire Jholok.com, a popular e-commerce site. Management has already initiated a discussion with owners of Jholok.com who have expressed their interest in selling their ownership.

Jholok.com is currently operating near to breakeven level. The Board believes that, following the proposed acquisition at a purchase price of BDT 450,000,000, Luna can leverage its financial strength, operational expertise, and existing infrastructure to improve efficiency and enhance profitability. The finance team has reviewed Jholok's historical financial statements and prepared forecasts indicating that the platform could generate revenue of BDT 350,000,000 in the first year after acquisition, with expected growth of 15% over the subsequent two years and 10% in the years thereafter. Direct expenses are projected to remain stable at approximately 65% of revenue, while operating expenses are estimated at 25% of revenue during the first two years, increasing thereafter at an annual rate of 8%. Cash flows beyond the fifth year are expected to grow at a perpetual rate of 4%.

Financing options:
To finance the most favorable investment options, Luna's board is considering following financing alternatives:

Issue of shares in IPO:
To finance the selected project, the Board is considering taking Luna public through an initial public offering (IPO). The Board expects to issue up to 25% of the company's shares at a premium of 250%, subject to approval from the Bangladesh Securities and Exchange Commission (BSEC). However, there is uncertainty as to whether the proposed premium level would be approved by the regulator. Consequently, the Board is also interested in understanding the maximum premium that could reasonably be expected if the target premium is not approved.

BSEC have equal consideration for the NAV, EPS and sectoral PE ratio while approving the premium rate and issue price is determined by averaging the price determined using NAV, EPS and sectoral PE ratio. The market capitalization of all securities listed at DSE Ltd. as on 30 April 2026 was BDT 6,851,187 million and the market P/E Ratio for all listed securities is 24.1, whereas sectoral Market Capitalization was Tk. 102,814 million and the sector's Price earnings (P/E) ratio was 46.5. The market price and EPSs of other comparable companies in the sector were:

SL.	Company Name	Face Value (BDT)	Latest NAV (BDT)	3-month average market price (BDT)	Latest EPS (BDT)
1	National Electronics PLC	10	190	387	6.2
2	Home Appliance PLC	10	33.5	221	1.86
3	Supreme Digital Ltd.	10	26	106	0.56
4	Modern Mart PLC	10	22	168	1.3
5	Queen PLC	10	24	112	1.8

Luna's board is planning to utilize the entire IPO proceed, net of issue cost, for financing the selected investment option. It is estimated that issue cost will be 3% of the IPO proceeds. During the initial 5 years, no new bank loan can be obtained without the consent of new shareholders and the BSEC. If additional funds are required for expansion or selection of new projects, funds must be raised through right share at face value during this period.

DSE Listing Rules require that the listed company shall follow the BSEC code of corporate governance which includes submission of quarterly financial statements and induction of independent directors higher of two or $1/5^{th}$ of the board. Further, the board needs to introduce different committees, including an audit committee headed by an independent director. All directors, including the independent director, shall be entitled to receive BDT 10,000 for each board and committee meeting attended. Usually, board and audit committee meetings are mandatory before submission of quarterly and annual financial statements.

Bank borrowing:
Alternative financing option for Luna is debt financing. Its bank has agreed to provide a 5-year term loan up to BDT 1,400,000,000. Annual interest for this term loan would be 12.5% subject to debt-to-equity ratio remain within 4:1. If it exceeds the ratio threshold, interest rate for that year will increase by 2%. The loan will be secured against the assets of the project being financed. Bank has graced Luna from payment of any principal amount during first two years. Principal will be repaid equally in last three years of the loan tenure. Interest will be paid at the year-end on the outstanding loan balance. In case of default in any year, Bank will charge 2% penalty on the defaulted amount.

For your reference, the following Present Value Interest Factor table has been attached which you may use.

Year / Rate	1	2	3	4	5	6	7	8	9	10
10%	0.9091	0.8264	0.7513	0.6830	0.6209	0.5645	0.5132	0.4665	0.4241	0.3855
11%	0.9009	0.8116	0.7312	0.6587	0.5935	0.5346	0.4817	0.4339	0.3909	0.3522
12%	0.8929	0.7972	0.7118	0.6355	0.5674	0.5066	0.4523	0.4039	0.3606	0.3220
13%	0.8850	0.7831	0.6931	0.6133	0.5428	0.4803	0.4251	0.3762	0.3329	0.2946
14%	0.8772	0.7695	0.6750	0.5921	0.5194	0.4556	0.3996	0.3506	0.3075	0.2697
15%	0.8696	0.7561	0.6575	0.5718	0.4972	0.4323	0.3759	0.3269	0.2843	0.2472
16%	0.8621	0.7432	0.6407	0.5523	0.4761	0.4104	0.3538	0.3050	0.2630	0.2267
17%	0.8547	0.7305	0.6244	0.5337	0.4561	0.3898	0.3332	0.2848	0.2434	0.2080
18%	0.8475	0.7182	0.6086	0.5158	0.4371	0.3704	0.3139	0.2660	0.2255	0.1911
19%	0.8403	0.7062	0.5934	0.4987	0.4190	0.3521	0.2959	0.2487	0.2090	0.1756
20%	0.8333	0.6944	0.5787	0.4823	0.4019	0.3349	0.2791	0.2326	0.1938	0.1615

EXHIBIT – 7

Article on "Environmental, Health &Ethical Issues of the Consumer Electronics Industry in Bangladesh"

The consumer electronics product industry in Bangladesh has expanded significantly over the past few decades due to rising household income, urbanization, digital transformation, and growing demand for modern lifestyle products. This growth has contributed to employment generation, retail expansion, local assembly, import trade, after-sales services, and supporting business networks. However, the rapid expansion of the sector has also created environmental, health, and ethical concerns that require attention from businesses, regulators, and consumers.

One of the most serious environmental concerns is the increasing volume of electronic waste, commonly known as e-waste. Electronic products contain plastics, metals, batteries, wires, circuit boards, screens, compressors, and other components that may release harmful substances if not properly collected, dismantled, recycled, or disposed of. In Bangladesh, many discarded electronic products are still handled through informal channels, where old devices are repaired, resold, dismantled, or recycled without adequate environmental safeguards. As a result, hazardous substances may contaminate soil, water, and air, creating long-term ecological and public health risks.

The environmental challenge is further intensified by limited formal recycling infrastructure and low public awareness regarding responsible disposal. Consequently, a portion of e-waste may end up in landfills, open dumping sites, drains, or informal recycling areas. In some cases, wires and plastic components are burned to recover metals, releasing toxic fumes and harmful particles into the air. The industry's environmental footprint is also affected by energy consumption in manufacturing, assembly, packaging, warehousing, and transportation.

Health and safety concerns affect workers in manufacturing, assembly, repair, servicing, warehousing, and informal recycling operations. Workers may face risks related to electrical testing, soldering fumes, machine operation, sharp components, heavy lifting, heat, noise, and chemical exposure. Without proper ventilation, personal protective equipment, training, and supervision, these risks can lead to burns, cuts, respiratory problems, eye irritation, and other occupational health issues.

Consumer safety is another important issue in the electronics sector. Poor-quality or counterfeit products can create risks of electric shock, overheating, short circuits, fire incidents, and product failure. If companies compromise on safety standards to reduce costs, consumers may face serious risks. Therefore, product quality assurance, safety labeling, warranty support, installation guidance, and genuine spare parts are essential elements of responsible business practice.

Ethical concerns in the consumer electronics industry are closely connected with labor rights, transparency, consumer protection, and supply-chain governance. In many factories, workers experience low wages, long working hours, limited job security, and inadequate workplace safety. Weak monitoring of subcontractors, service agents, dealers, and recycling partners can also create ethical risks.

Consumer protection is also a major ethical issue. Some sellers may provide misleading product claims, unclear warranty terms, exaggerated energy-efficiency information, or poor after-sales support. Customers often rely on brand reputation, dealer recommendations, and warranty commitments when purchasing electronic goods. Ethical business conduct requires transparency in product specifications, pricing, warranty conditions, return policies, service charges, and after-sales commitments.

In response to the growing e-waste challenge, Bangladesh introduced the Hazardous Waste (E-waste) Management Rules, 2021 under the environmental regulatory framework. These rules assign responsibilities to manufacturers, assemblers, importers, traders, sellers, repairers, collectors, dismantlers, recyclers, and other relevant parties involved in electrical and electronic products. They also include registration requirements, e-waste management plans, restrictions on certain hazardous substances, and progressive collection targets. However, effective implementation remains a major challenge due to limited awareness, weak collection systems, inadequate recycling facilities, and inconsistent enforcement.

EXHIBIT – 8

News clips and articles about Luna and Consumer Electronic Sector in Bangladesh

Bangladesh turning into a consumer electronics manufacturing hub *(18 March 2024 on The Daily Star)*
Bangladesh is turning into a manufacturing hub for consumer electronics thanks to its affordable wage structure, expertise in information technology and light engineering industries. A rise in per capita and disposable income is rising demand for consumer electronics and the growth opportunity in rural markets prevails for high remittance earnings. The enhancement in manufacturing capacity is being catalyzed by the government's thrust on domestic manufacturing, boosting local value addition and ensuring lower reliance on imports.

Bangladesh secures duty-free access to Japan for 99.9% of products *(09 Feb 2026 on Jago News 24)*
Government has announced a historic breakthrough in bilateral trade relations, confirming that Bangladesh is set to receive duty-free market access for 99.9 per cent of its products under a new Economic Partnership Agreement (EPA) with Japan. Out of 7,389 tariff lines, Bangladesh will be able to export almost all of its products to Japan at zero duty. This comprehensive access is expected to provide a massive boost to the country's export earnings.

Franchising opportunities in Bangladeshi retail sector *(26 Oct 2024 on The Financial Express)*
Franchising has emerged as a dynamic business model in Bangladesh, offering entrepreneurs and investors a pathway to tap into established brands and proven systems. The retail sector, in particular, has witnessed significant growth in franchising opportunities. Local brands operating in different segments of the retail sector like grocery, footwear, clothing and consumer electronics are now running successful franchise operations. According to estimates, the retail market size in Bangladesh is around $200 billion.

Time to formalize informal e-waste management in Bangladesh *(17 Dec 2019 on The Daily Star)*
Bangladesh's rapidly growing use of electronic products is creating a serious e-waste challenge, with most discarded devices still being recycled by informal and unregulated workers. Experts warn this poses major health and environmental risks while also causing the country to lose valuable reusable materials. Bangladesh needs urgent implementation of e-waste rules, stronger producer responsibility, proper recycling infrastructure, and training for informal recyclers.

Local makes now hold majority of domestic TV market share *(10 Dec 2025 on The Financial Express)*
Bangladesh's TV market has moved sharply from import dependence to local dominance. In 2021, "Made in Bangladesh" TVs held about 40% of the domestic market. By the latest available industry update going into 2026, locally manufactured and assembled TVs now hold around 90% market share, showing a major shift in the sector. Rising demand for smart TVs, wider electricity access, and local assembly by brands like Walton, Singer, Vision and Minister are driving the change.

Consumer uncertainty weighs electronics sales *(15 March 2025 on The Daily Prothom Alo)*
The electronics and home appliance sector in Bangladesh is facing one of its most challenging periods in recent years due to inflation, currency devaluation and declining consumer spending on non-essential items. As households struggle with rising food prices and economic instability, demand for consumer electronics has significantly dropped. This has forced home appliance companies to adjust their strategies to navigate these uncertain times.

BSEC bans audit firm and its partners over audit failures *(29 April 2026 on The Daily Market Watch)*
The Bangladesh Securities and Exchange Commission (BSEC) has banned audit firms Hossain Billal & Co., Chartered Accountants and its partners from auditing listed companies for 5 years after it failed to audit the financial reports of two listed companies properly. As a result of inaccurate financial reporting, many investors were misled into buying shares and later suffered significant losses.

Luna faces allegation over electronics import duties *(14 March 2026 on The Daily Business & Economy)*
Luna HomeTech Limited has come under scrutiny following allegations that the company imported consumer electronic products while avoiding applicable taxes and import duties. According to the allegation, the company may have used irregular import documentation or undervaluation practices to reduce payable government revenue. Authorities have not yet publicly confirmed any final finding against the company. Spokesperson from Luna HomeTech Limited denied any wrongdoing.

---The End---